RBI - OFFICIAL REGULATORY DIRECTION

Master Direction on Regulatory Framework for Microfinance Loans and FOIR Cap

Document ID: DOC_020 | Issuer: RBI | Issue Date: 2025-02-25 | Source: https://www.rbi.org.in/Scripts/BS_ViewMasDirections.aspx?id=12256

Chapter 1: Operational Compliance Guidelines (DOC_020)

Chapter 2: Operational Compliance Guidelines (DOC_020)

Section 3: Rs. 3,00,000 Household Income Threshold and 50% FOIR Limit

3.1 Definition of Collateral-Free Microfinance Loan
A microfinance loan is defined as a collateral-free loan given to a household having an annual household income of up to Rs. 3,00,000 across both rural and urban geographies. No lien on deposit accounts may be linked to a microfinance loan.

3.2 Cap on Monthly Loan Repayment Obligations (FOIR)
The outflows towards monthly repayment of all existing and proposed loan obligations of a microfinance household (both principal and interest) shall be capped at a maximum of 50 percent of the assessed monthly household income.

Chapter 4: Operational Compliance Guidelines (DOC_020)

Chapter 5: Operational Compliance Guidelines (DOC_020)

Chapter 6: Operational Compliance Guidelines (DOC_020)